

4.3.2 GLOBAL MARKETS AND BUSINESS EXPANSION

Things that need you need to know:

- a) Push factors:
 - saturated markets
 - competition.
- b) Pull factors:
 - increased sales and profitability
 - risk spreading and economies of scale.
- c) Cost competitiveness by off-shoring and outsourcing.
- d) Extending the product life cycle

a)Push factors defined

There are some PUSH factors which may force a business to consider selling abroad;

- High levels of domestic competition
- Saturated markets with only low growth opportunities

Push factor – saturated market

- A saturated domestic market means that a business or group of businesses has sold a product to just about everyone who will buy one
- While R&D is taking place the business needs to continue to trade and to grow and so will look for new markets for the products abroad
- E.g. Chinese smartphone manufacturers; Apple, Samsung, Huawei and LG all now sell to overseas markets

Push factor – high competition in home market

- High levels of competition in the home markets mean that a business will look abroad to where there may be less competition and lucrative market opportunities to trade
- An example is the food and drink market in the UK is very competitive but there is a very buoyant market for unusual food imports to other countries

b)Pull Factors defined

There are some PULL factors which may force a business to consider selling abroad;

- Significant opportunities to sell to overseas markets
- Ability to spread risk across more markets
- Ability to gain economies of scale

Pull Factor - Opportunities in overseas markets

- Exporting is one way for a business to increase sales and this can contribute to increased profits
- An export opportunity may arise when demand increases for your product in other countries
- A business selling in overseas markets will be able to grow faster than those limited to domestic markets
- Increasing sales means more opportunities for sales and greater profitability

Pull Factor - Ability to spread risk

- A key benefit of exporting to other nations is that it allows the business to spread the risk
- By selling in other countries the business is less vulnerable to changes in the domestic economy
- Different countries may have different growth rates at any time, selling in multiple countries can give a balanced portfolio of growth

Pull Factor - Ability to gain economies of scale

- Exporting is an excellent way to drive production to a level that delivers economies of scale, particularly if the product or service is standard across export markets with little or no need for adaptation.
- Achieving greater economies of scale will allow the business to become more cost-competitive

c) Improving cost competitiveness

Offshoring: Offshoring is when a business relocates some of its production process to another country. This may be to cut costs in terms of labour pay rates. This may also be to take advantage of trade blocs or trade deals

A firm may offshore into another country in order to:

- Reduce costs
- Hire workers with particular skills

Outsourcing: This is where a business function, such as payroll, is contracted out to a third party business. This third party business may or may not be located abroad.

May be marketing research, legal work, accountancy or even human resources functions can be carried out by outsourced companies. The most common example is a call centre in India

A firm may outsource due to similar reasons as offshoring . such as :

- reduce costs
- specialize areas of the business
- improve speed, flexibility or quality
- comply with rules and regulations

Outsourcing might be commonly done on these areas:

- production
- payroll
- purchasing
- delivery

Outsourcing - production

- This means sending some of the production to other companies to complete
- Some motor manufacturers now outsource not only parts but complete assemblies – steering, transmissions, engines, interior assemblies.
- 1/5 of Europe's cars are sub-assembled in Eastern Europe

Outsourcing – payroll

- Payroll is the most common task that companies outsource to other businesses who specialise in this task
- Services include weekly/monthly/quarterly payroll and will involve the completion of the complex HMRC paperwork
- Payroll includes the payment of taxes and NI contributions which can be beyond the skills of many self employed business owners

Outsourcing - purchasing

- Purchasing and maintaining information systems
- Hiring and evaluating IT staff and training users can be very costly and time consuming for SMEs
- By outsourcing the IT function the business can obtain the latest technology and suitably skilled personnel

Outsourcing - delivery

- Larger businesses might prefer to contract a major delivery firm rather than maintain their own fleet.
- Either way, the business can hire the expertise to keep delivery problems and decisions off their desk

Assess the reasons why a company might outsource the call centres to India

Analysis

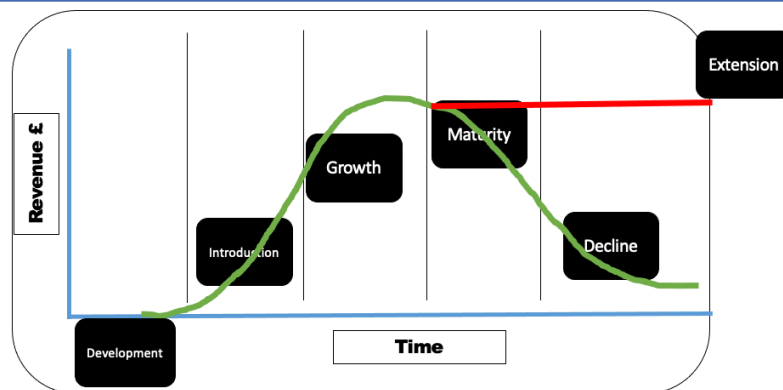
- India is a hub of talent. It has skilled call centre professionals who can provide businesses with efficient services at fraction of the UK cost.
- Indian call centres utilise the best of technology, software and infrastructure.
- The time zone difference between western countries and India makes it possible for companies to offer customers quality services on a 24x7 basis.
- A vast majority of the Indian population speaks English. They also have workers who can speak other foreign languages like French, German, Spanish.
- India also has a growing pool of technical talent, making it an ideal location to outsource call centre services to.
- India's highly advanced satellite-based telecommunication network helps in high-speed transfer of voice and data from all over the world.
- The Indian government is very supportive of the IT industry and does all it can to nurture it.

Evaluation

- One of the biggest disadvantages of outsourcing is the risk of losing sensitive data and the loss of confidentiality.
- Losing management control of business functions mean that businesses may no longer be able to control operations as well as if the were in domestic markets.
- Problems with quality can arise if the outsourcing provider doesn't have proper processes and/ or is inexperienced in working in an outsourcing relationship.
- Since the outsourcing provider may work with other customers, they might not give 100% time and attention to a single company. This may result in delays and inaccuracies in the work output.
- Hidden costs and legal problems may arise if the outsourcing terms and conditions are not clearly defined.
- Not understanding the culture of the outsourcing provider and the location where the business outsources to may lead to poor communication and lower productivity

d) Product life cycle Extension

Product lifecycle extension



- Extending the product lifecycle by selling in multiple markets
- This means being able to sell a product that might be in decline in the UK into a new international market as a new product
- Developing nations often see our “mature” or “declining” products as new and exciting

An example:

E Sample practice questions **product lifecycle - SPAM**

- SPAM is a unique blend of prime pork and ham which is 90% meat
- SPAM was introduced into the UK from USA in the 1940s – a product created due to excesses of pork meat in Minnesota
- It may be in decline in the UK but in Guam it is part of their native cooking and each person consumes on average 16 cans a year



Exam style question

For years India was the only choice for U.S. companies seeking to move jobs overseas. India had substantial advantages, plenty of English speakers to staff call centres and enough technical talent to run remote data-processing and computer support centres – all at about 60% less than the cost of U.S. workers.

However, India's dominance in attracting outsourcing is now being challenged by other countries. U.S. companies are exporting skilled jobs in research, accounting and financial analysis to countries such as Argentina and Poland, despite them having higher labour costs than India.

Argentina has large groups of young people with engineering and business school degrees who speak English; it also helps that its time zones are close to those of North America.

Poland's young population is highly educated – about 50 per cent of its 20 to 24 year olds are in college compared to 10 per cent in India – and highly multilingual.

Evaluate the relative importance of low labour costs to a company's decision on where it will outsource its production.

Analysis

e.g. lower wage rates/moving part of your production to another country

e.g. lower labour costs will lower the costs of production. For many businesses labour costs are a substantial part of their total costs, reducing them can lead to lower prices and a competitive advantage with regard to price

e.g. balances possible cost savings against extra costs that might be incurred such as training the workforce.

Evaluation

e.g. the cost of labour might not be as important as the quality and skills of the labour force

e.g. considers the importance of other factors such as infrastructure, location, land costs. Ease of doing business, size and amount of government restrictions/incentives.

e.g. labour costs might only be a small proportion of total costs

e.g. the pharmaceutical industry in particular is capital intensive rather than labour intensive

ASSESSMENT OF COUNTRY AS A MARKET

a) Factors to consider:

- levels and growth of disposable income
- ease of doing business
- infrastructure
- political stability
- exchange rates.

b) Application of Porter's five forces in assessing potential markets

Factors to consider:

- **levels of growth and disposable income:** Disposable income is the amount that a customer has to spend after all their bills have been paid
If a business wants to move into another country it may assess the level of disposable income in that country
This helps a business to see if the citizens of the country will be able to afford the products that they want to sell there.
Household disposable income is the amount of money that a household earns, or gains, each year after taxes.
It represents the money available to a household for spending on goods or services. A minimum wage is the least amount that a business is allowed to pay a worker in that country

- **Ease of doing business:** The ease of doing business index is an index created by the World Bank Group.
Higher rankings (a low number) indicate better, usually simpler, regulations for businesses and stronger protections of property rights e.g. patents
- **Infrastructure:** Infrastructure is the basic physical and organisational structures and facilities (e.g. buildings, roads, power supplies) needed for the operation of a society or business
Many developing nations have been slow to get their infrastructure in place, and through failure to maintain it have let it decline

Why infrastructure is important to sales?

- Infrastructure can mean road, rail and transport. Without this a business cannot deliver to its customers on time
- Infrastructure can also mean telecommunications, without this a business cannot communicate with its suppliers and its customers
- Why is infrastructure important when selecting a country to sell in?
- **Political stability:** The world bank has a series of worldwide governance indicators, one of which is the political stability and absence of violence and terrorism
Why do you think that political stability is important when selecting a country to trade in?

Political stability – risk factor

- Political instability in a country could be a major risk factor so should be taken into consideration when assessing a potential country as a market for your products
- Each new government may seek to impose a series of laws which will need to be adhered to e.g. environment laws, employment laws which could have an impact on the business

Why is political stability important?

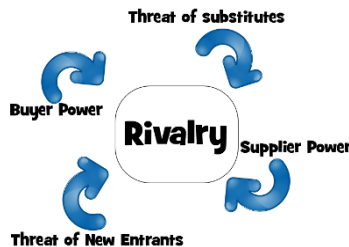
- An aggressive takeover of a government, a coup could lead to riots, protests and looting
- It can also lead to civil war, notable recent examples are Egypt, Syria and Sri Lanka
- Even more recently the government in Venezuela has faced challenges which have led to a great deal of political unrest

- **Exchange rates:** When assessing a country as a potential market a business will look at the exchange rates:

Strong
Pound
Imports
Cheaper
Exports
Dearer

Application of porter's five forces to assess markets

- 1979 Michael Porter wrote a theory of 5 Forces
- The theory can be used to determine the competitive intensity and attractiveness of a market
- We can use it to analyse a country to see if it is an attractive place to sell our products in



- **Buyer Power:** How easy is it for buyers to drive down prices in that market?
- **Supplier Power:** How easy is it for suppliers to drive up prices in that market?
- **Threat of substitutes:** What close substitute products exist in that market? Could customers easily switch products?
- **Threat of new entrants:** What are the barriers to entry to this market? Are there likely to be lots of new entrants which will erode profitability?
- **Rivalry:** This is the level of competitive rivalry in that market. How many competitors are there and are they strong? Are products undifferentiated?

Exam style question

Extract A

Facebook's mobile marketing strategy in emerging economies

Facebook earns revenue from selling advertising on its websites. In July 2014, Facebook announced its new strategy of targeting emerging economies, such as China, India and Brazil. Emerging economies are home to the next 5 billion consumers. The problem for businesses such as Facebook is that as markets become saturated in developed economies, these businesses must decide whether they should target emerging economies rather than focus on existing markets. 5

High-profile brands such as Facebook, Amazon and Samsung must be innovative in order to stay competitive. However, whilst consumers are keen to receive mobile content, the technological infrastructure (phones and networks) of emerging economies is limited compared to developed economies. 10

The fall in the price of smartphones relative to incomes, has led to increased ownership of smartphones worldwide. This has increased the rate of growth in mobile commerce, including the number of network providers. China and India are predicted to experience more than 200 million smartphone sales by the end of 2015.

(Source: adapted from <http://www.business2community.com/mobile-apps/will-facebooks-mobile-marketing-strategy-developing-nations-pay-01132062#00H1j5Ijdwlq6gFg.99>)

Facebook's markets in developed economies are 'saturated' (Extract A). Two options could be to target emerging economies or to develop existing markets.

- (e) Evaluate these **two** options and recommend which **one** is most suitable for Facebook.

(20)

Answer

Indicative content for option 1

- The suggestion is that Europe and North America are saturated for businesses such as Facebook, prompting them to look at developing markets
- Developing markets will be at the introduction/growth stage of the product life cycle and so provide opportunities for Facebook to sell mobile marketing products/services
- Selling to developing markets helps to extend the product lifecycle of a concept or marketing products
- In developing markets, such as India, Facebook will face less domestic competition than in saturated developed markets, so there is greater scope to expand sales
- Ansoff's Matrix suggests that market development is more risky than market penetration as the business does not fully understand the new market.

Indicative content for option 2

- Developing existing markets would mean selling more of Facebook's existing products to existing customers (market penetration)
- It could also mean product development – still focus on developed markets, but look to sell new products to customers within these
- According to Ansoff's Matrix market penetration is the least risky option for a business because both variables (market and product are known)
- Developing markets demand for Facebook mobile has been restricted by the reliability and access to smart-phones
- Facebook has a large market share in developed markets and should be able to exploit this in selling new content to existing customers

Potential judgement:

- That Facebook develops existing markets. In a market such as India, there is still likely to be domestic businesses selling mobile marketing content and this might be better tailored to Indian tastes and preferences, so it might be safer for Facebook to develop existing markets.
- That Facebook targets emerging markets as they may gain a first-mover advantage over competitors such as Twitter.
- They can exploit the adaptations in technology, such as the advertising call-back to attract new customers to their new content.

ASSESSMENT OF A COUNTRY AS A PRODUCTION LOCATION

Factors to consider:

- a) Costs of production
- b) Skills and availability of labour force
- c) Infrastructure
- d) Location in a trading bloc
- e) Government incentives
- f) Ease of doing business
- g) Political stability
- h) Natural resources
- i) likely return on investment.

You should be able to recognise the factors which makes one country more attractive than another as a production location

In a previous topic you have looked at possible sales markets – this unit is all about the **production** so keep that in mind

a) Costs of production – UK is expensive

- Producing goods in the UK is expensive
- We have to import a great deal of the raw materials that do not naturally occur in this country e.g. Cocoa
- We have a high standard of living and a high national minimum wage in comparison to other countries
- Businesses that want to compete will need to move their production to another country but may keep the design or head office in the UK. This is offshoring
- Main cost of production is the wages of employees
- It stands to reason that a country which pays lower wages would be more attractive as a production location

b) Skills and availability of labour force

- Unemployment rates mean available labour: The UK has low unemployment compared to other countries
- A large unemployed population means a large pool of candidates for every position
- This will depend on what skills the business needs to succeed.
- If it is following a differentiation strategy then it may need more skilled staff than a low cost strategy
- A business may need a skilled labour force and one of the ways to assess if a country has this is to look at the global school rankings

- Comparative advantage is the idea that some countries can make products better than others.
- This may be down to a range of factors such as skills of the locals, availability of raw materials etc.
- Canada exports maple syrup to the USA as they have a history and tradition of making the product, this gives them a comparative advantage over other nations

c) Infrastructure

- One factor to consider when deciding where to locate production is the infrastructure of a country
- A business will need to assess if the country have adequate road, rail, sea and air transport systems so goods can be exported and imported easily
- The business will also need to know if the country have suitable buildings and premises where the goods could be manufactured
- The country have a reliable power system e.g. in Ethiopia power cuts are a daily occurrence

d) Location in a trade bloc

- Some businesses may start production in a country as a way into a trade bloc.
- For example Honda, Nissan and Toyota all have manufacturing plants in the UK to gain access to the lucrative rich and developed EU market for cars
- EU is the world's largest trading bloc, which accounts for some 20% of global GDP and approximately 500 million people.

e) Government incentives

- The government of a country may offer incentives for businesses to set up there
- Tax incentives are given to companies in the hope that foreign investors will bring in capital to support economic development and create local employment
- Africa is losing \$2 billion a year in tax breaks for foreign businesses

f) Ease of doing business

- The Ease of doing business (EODB) is an index published by the World Bank
- This is a mixture of 11 indicators such as; labour regulations, construction permits, land availability and time taken to build a warehouse
- The EODB looks at 190 countries worldwide and aims to encourage countries lower down the rankings to reform their business practices

World Bank Ease of doing business graphic

What is measured in *Doing Business*?



Importance of EODB when deciding where to manufacture

- EODB rank will help a business to find out the time period required to start a business and the number of paperwork obstacles to be overcome
- EODB higher rank implies that the business could start quickly reducing start-up costs and this may be a good reason to choose a location
- Other factors may be important too such as labour costs, skills and availability of labour and infrastructure
- Location may however depend on access to raw materials
- The business may require high skills and good infrastructure rather than cheap labour which may effect the decision of where to produce

g) Political stability

What is political crisis? Which countries are currently in a state of political crisis? Would you recommend that businesses start to manufacture in countries which are in a state of political crisis?

h) Natural resources

- Remember you are trying to decide where to locate.
- You may need raw materials from that country
- If you don't locate there you may have to import which could be expensive
- This will push up the costs of your production
- This will reduce your profits
- Some countries have an advantage that they have natural resources that are not found elsewhere
 - For example China has a monopoly on rare earth metals – to watch this video you will need to use Internet Explorer.

- You may need to set up production in another country because the raw materials that you need do not naturally occur in the UK
- The business could decide to import cocoa beans, coffee beans, rice or pineapples, but perhaps it will be cheaper to move the production location to the country of origin

i) Likely return on investment

- If a business sets up production in another country this is expensive
 - Moving factory
 - Setting up new production
 - Buying machinery
 - Hiring staff
 - Moving operations such as HR
 - Hiring key staff such as managers with local knowledge (language)
- Investors will need to know that these expenses will be returned with profits

REASONS FOR GLOBAL MERGERS, TAKEOVERS OR JOINT VENTURES

Definitions:

Joint venture: A joint venture is a commercial enterprise undertaken jointly by two or more parties which otherwise retain their distinct identities, this is only a temporary arrangement

In other words two business come together to collaborate on one project, but will still remain separate businesses

Global merger: A merger is where two businesses come together to become one, on a permanent basis e.g. Orange and T mobile became EE

Reasons why businesses join together:

a) Spreading risks and economies of scale:

Moving production or sales into another country can be very complex and risky for a single business to go it alone

Often a business might decide to enter into a joint venture to share the risk, perhaps with a business already trading in that country – which can help them navigate the paperwork and cultural differences

Risk can also be reduced by entering into a more long term arrangement with a merger

Example: Ford wanted to sell Jaguar and Land Rover

- In 2008 Tata the Indian company bought the two companies from Ford
- They wanted the brands for different markets and different countries
- The purchase gave Tata the opportunity to expand its presence in the passenger car market beyond India and gave it the power necessary to compete with international players.

b) Entering new markets and trading blocs (through joint ventures)

- Renault-Nissan alliance became the latest car group to sign a joint venture to produce electric vehicles with long time partner Dongfeng Motor Corporation, based in Wuhan
- This is a good way for Nissan to get into the Chinese car market and to bypass the expensive import tariffs
- A joint venture with another company in Japan may be an excellent opportunity for a business to grow without the complexities of making an outright purchase of another company
- For example Dow Chemical went into a Joint Venture with Ube to produce batteries in Japan
- The Italian firm behind Ferrero Rocher chocolates and Nutella spread has agreed to buy British chocolate retailer Thorntons for £112 million, striking a rare deal to expand in Europe's biggest confectionery market.
- Ferrero International said it was buying Thorntons to expand its business in the UK, where the Italian firm has operated for 60 years.

Advantages of joint ventures

- Access to knowledge and resources such as capital, staff and technology
- Access to new opportunities such as new markets or greater distribution reach
- Shared exposure to risks, financial responsibility and workload

Disadvantages (risks) of joint ventures

- A large number of joint ventures fail because of the many risks involved and the complexity of integrating operations and work culture of two different companies
- Coping with differing cultures, management styles, and working relationships that are in each company
- 50% of all joint ventures fail

c) Acquiring international and national brand names/patents

- A business may look to merge with another business in order to acquire a lucrative brand name
- For example Ben and Jerrys sold their company to the Anglo-Dutch company Unilever in 1999.

- They loved Ben & Jerry's but never wanted to sell it, but Unilever offered so much money that, in the end, responsibility to the shareholders won out.
- A joint venture allows inventors to move their products to market quickly with much less financial risk
- Inventors can team up with manufacturing companies who will help them; design, build and make the prototypes necessary to help get the product to market
- The joint venture could be with an overseas manufacturer who will make the product for a reduced price in exchange for overseas marketing rights

d)Securing resources or supplies

- A business in one country may need resources that are only found in another country and so they may enter into a joint venture to secure access to these resources
- For example Chinese Railway and electric co went into a joint venture with the Gecamines in the Congo which mine nickel, cobalt and copper
- The Chinese company provide technology and know-how and in return secure 10 million tonnes of copper

e)Maintaining or increasing global competitiveness

- A joint venture or merger may be essential to ensure that the business remains competitive in a dynamic global market
- The local partner may be able to provide critical market data, local knowledge on the domestic market and information on customers, tastes and trends which will help the parent business to maintain competitive advantage

f)Reducing competition

- One company may decide to merge with another company to reduce the competition in an industry by eliminating a competitor
- Alternatively they may seek to become large enough to compete with a different competitor e.g. Adidas bought Reebok to help it compete against Nike
- A company may decide to merge with a business in the same market to gain economies of scale
- An example of this would be the proposed merger of ASDA and Sainsbury's
- This would be a consolidation merger and would enable Sainsbury's to compete with Tesco
- Vertical competition is where a business may decide to merge
 - A) Downstream with customers
 - B) Upstream with suppliers

- This will enable the business to get economies of scale all through the supply chain, lower prices and make them more competitive

g) Making use of local knowledge

- Imagine you are a business owner and you wish to take advantage of the new trade liberalisation in China and the large potential market of middle class Chinese consumers
- You don't speak Chinese, in fact you have never been to China, you know very little of their culture and would have no idea on how to complete paperwork or import documents
- You don't know how to find your way round Chinese laws or regulations
- You have no idea who the competitors are in your market place
- Where do you start?
- The main reason to start a joint venture with a company in another country is to acquire local market knowledge
- The host nation business will have information about;
 - Buyers
 - Suppliers
 - Rivals
 - Paperwork
 - Laws
- Plus in some industries such as mining and telecoms, a joint venture with a Chinese business is compulsory under Chinese law

h) Government or legal requirement

- Collaboration between businesses can deliver innovation and more choice for customers. However, when businesses work together they must comply with competition law. The consequences of getting caught breaking the law are serious

i) Accessing supply chains and distribution networks

- Once two companies have merged they will look to find ways to integrate their supply chains and distribution networks
- This may mean duplicated processes and streamlining where possible
- An example is when Air France merged with KLM Dutch Airlines they had to rationalise two warehousing networks in order to take advantage of possible synergies and economies of scale
- Mergers will give access to new geography or new markets very rapidly

- They will also enable the business to claim operational efficiencies and increase capacity
- The newly formed business should be able to exploit these advantages to give better customer service and reduce costs through economies of scale – which can be passed on as price cuts making the business more competitive

j) Sharing costs and risks

- A business may merge for synergies and cost or market share benefits
- Other businesses may decide to merge to diversify and therefore spread the risk
- If a business owns companies in more than one industry then this will protect against a downturn in profitability in one industry for example Tata

GLOBAL EXPANSION AND UNCERTAINTY

a) The impact on businesses of movements in exchange rates.

b) Skill shortages and their impact on international competitiveness.

a) Effects of exchange rate movements on business

Exchange rate	Price of exports	Demand for exports	Price of imports	Demand for imports
Rises (appreciation)	Rises	Falls	Falls	Rises
Falls (depreciation)	Falls	Rises	Rises	Falls

Appreciation and exports

- If the £pound appreciates, gets stronger against other currencies then UK exports to other countries will be more expensive
- This may mean that the business that exports, out of the UK, has lower sales or may have to reduce their prices in other countries to keep demand levels up

Appreciation and imports

- As the pound **appreciates** – gets stronger – against other currencies then imports to the UK will be cheaper
- This will be good news for all those who like a bottle of French wine with their Nandos, or who like a nice French cheese with some biscuits
- Businesses that sell imports will have lower costs, and therefore may enjoy higher profits

Depreciation and exports

- If the £pound **depreciates** - gets weaker against other currencies it will make exports to those countries cheaper
- The business can decide to either:

- Keep prices to other countries the same and enjoy the higher profit
- Lower prices to other countries and gain market share and more revenue from extra sales

Depreciation and imports

- If a business imports while there is depreciation it will make those imports dearer
- If the imports are raw materials to make other products in the UK then these products will cost more to make and be more expensive for the consumer which may affect demand, sales revenue and profit

The significance of changes in exchange rate on businesses

- **Elasticity of demand:** when there is a depreciation, a business selling goods with inelastic demand then the fall in price would only have a small impact on quantity demanded. If demand for goods is elastic there will be a bigger percentage increase in quantity demanded.
- **Significance of the cause of the fluctuation in exchange rate:** depends on magnitude (size) of the change.
- **Fixed contracts:** helps to reduce the uncertainty around exchange rate fluctuations. it also means that there are delays between changes in exchange rates and the impact of business.
- **Economic risks:** external factors affecting exchange rate.

Competitive advantage

A competitive advantage is an advantage over competitors gained by offering consumers greater value, either by means of lower prices or by providing greater benefits and service that justifies higher prices.” Michael Porter (1985).

Two ways to achieve competitive advantage

- 1) Low cost leadership
- 2) Differentiation

Low cost leadership

- With this strategy a business will seek to produce the same quality products as its competitors at a lower price
- The industries typical of this strategy are standard mass produced items
- Large businesses typically do well as they can benefit from the largest reduction in average costs and EOS

- They may gain cost leadership due to;
 - Good resources management
 - Efficient production methods
 - Waste minimisation

Differentiation

- With this strategy a business will produce a unique product or give a unique service
- They may be similar products but each will have some attributes which set it aside from the competition. Kotler suggested;
 - Performance
 - Style
 - Design
 - Consistency
 - Durability
 - Reliability
 - Reparability
- With a uniqueness the business can charge a premium price to its market segment

Skills shortages and their impact on international competitiveness

- The lack of ability to find skilled workers can cause a decline in competitive advantage
- Those businesses that follow a differentiation strategy will suffer the most from skills shortages
- Not enough talent coming through to take UK businesses into the digital era to make them competitive on a global scale
- Many careers are developing and very fluid due to the fast changing world of IT, telecoms and the Internet
- Skills shortages of critical jobs will cause UK business to lose their competitive advantage

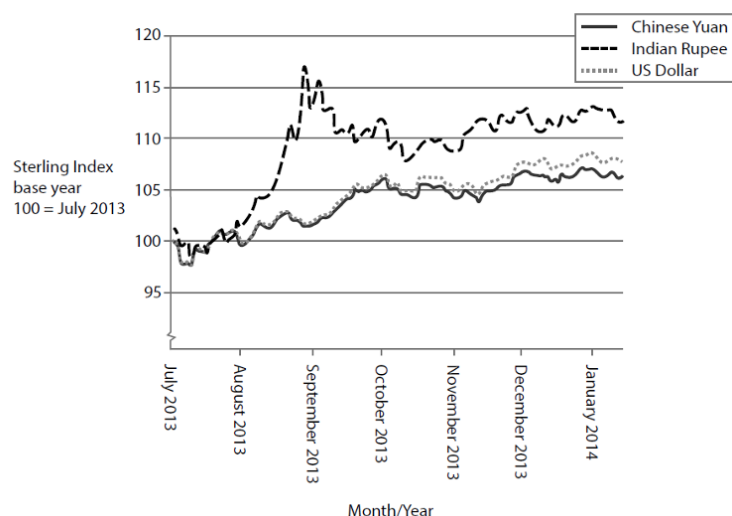
Effects :

- Higher wages
- Lower quality
- Lower productivity
- Loss of business

Exam style question

Extract F

Currency Index of the pound (£) against selected currencies July 2013 to January 2014



Extract D

Vi-Spring focuses on growth

Vi-Spring manufactures beds and mattresses. It has a global reputation for high-quality manufacture and one of its models, The Monarch, is the sixth most expensive bed in the world, selling at £80 000 in niche markets.

Vi-Spring beds are produced using the finest materials including British Shetland wool. Each bed contains several thousand springs and the stitching is completed by a skilled and motivated craftsman, with the cotton fabric being woven with silk and gold. Nearly all of the raw materials used to produce the bed are sourced within the United Kingdom, and this helps Vi-Spring to maintain its strong branding and high levels of market orientation.

The Monarch has many famous owners including David Beckham. Vi-Spring's market focus has been in the USA and the UK. It has now started to sell an increasing number of beds to customers in countries with high economic growth rates, such as China and India.

(Source: ©VI-SPRING Ltd)

Using the data in Extract F, evaluate the likely impact of the changing value of the pound (£) on an export business such as Vi-Spring.

(20)

Answer:

Indicative content (quantitative skills)

- Reference to graph which demonstrates an understanding of an index: Chinese Yuan appreciating by 6-7%, US dollar appreciating by 7-8% and Indian Rupee fluctuating with a peak in August/September 2013 and overall appreciation of 11-12% (QS4)
- The pound (£) has been strengthening over six months to varying degrees across the three markets. (QS9)
- The impact will depend on how much the £ has appreciated (reference to percentage changes for each currency) (QS9)

Indicative content

- This should make prices in Chinese, Indian and US markets appear more expensive.
- Demand in China, India or the US could decline.
- A high percentage of the raw materials is sourced from the UK.
- Luxury beds produced abroad would appear less expensive in a foreign currency relative to a Vi-Spring bed.

Potential counterbalance

- The beds are aimed at individuals with a high income, therefore Vi-Spring are less likely to be affected.
- Demand in Chinese, Indian or US markets is likely to be price inelastic.
- Income inequality in China and India could result in much lower PED than the US.
- Negligible effects due to low PED and lack of raw material imports.
- Vi-Spring could have hedged to reduce its reliance on day-to-day exchange rate movements.
- Depends on the degree to which Vi-Spring rely on foreign markets to make sales.